

US Payment Fraud Survey

The new threat landscape, consumer attitudes & future-resilient defense strategies



CAPCO
a wipro company

Foreword

This report describes trends across five key types of payment fraud and discusses how to contain a series of emerging threats, including the rise of AI-driven fraud and the growing threat of deep fakes. We present the results of a survey of 1,000 US consumers on attitudes to fraud and fraud prevention, and use these to explore how practitioners can strike the right balance between strengthening fraud prevention and creating a positive customer experience.

Losses from payment fraud in the United States are increasing rapidly as fraud becomes more organized, automated and sophisticated. The Federal Trade Commission (FTC) reports a sharp rise in reported fraud losses across the nation to \$15.9 billion in 2025 – a quarter higher than in 2024. The total was driven by fraudsters taking more money per scam as well as by a rise in the number of reported scams, which reached three million.¹

The most frequently reported fraud to the FTC is imposter scams, while the total loss number is driven by investment scams, often involving either bank transfers or cryptocurrency. Text messages were the most frequently used contact method, though social media contact is a bigger driver of the loss total.

These reported numbers, however, significantly underestimate the true size of the problem today and the future threat. Fraud is increasingly organized and scaled, with scammers operating fake websites and deploying large teams – including forced labor – in centers around the world. Last Fall, US authorities announced an interagency Scam Center Strike Force to fight investment scam gangs based in compounds in SE Asia, which may be defrauding Americans of nearly \$10 billion a year.²

The gangs that have industrialized scamming over the last few years using human labor may soon seem old-fashioned. Last November, AI-corporation Anthropic announced that it had tracked Agentic AI attacks on financial and other institutions in “the first documented case of a large-scale cyberattack executed without substantial human intervention”.³ Agentic AI may soon be used to automate all aspects of payment fraud from the collection and assemblage of stolen credentials to the deployment of password crackers.

In this report, we explore five types of payment fraud in terms of emerging trends and how institutions can build strategies to contain them:

- account takeover
- authorized push payment (APP) & social engineering
- payment card & emerging digital payment fraud
- identity & synthetic fraud
- insider-driven fraud.

We cover key challenges such as the increasing use of synthetic identities and the abuse of real-time payment systems to commit APP fraud. Throughout the report, Capco's US team of payments and cybersecurity experts offer insights on future fraud evolution and how to improve fraud prevention.

Banks and other payments market participants seeking to strengthen defenses must enroll the help of consumers, increasingly viewed by fraudsters as the weakest link. We therefore also present the results of a survey of 1,000 US consumers to reveal their experience of fraud, preferred balance of security versus convenience, how informed they feel about the deep-fake threat, and other key attitudes.

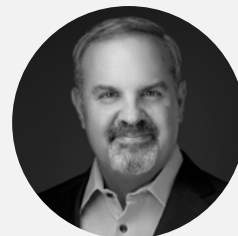
To highlight one result: when we asked respondents to name the most important factors in their choice of financial institutions offering payment services, security **(63%)** and advanced fraud protection **(50%)** came top of the list. Both were chosen more often than other key factors such as customer service **(42%)**, transaction speed and reliability **(34%)**, brand reputation **(30%)**, and rewards **(22%)** – suggesting that fraud protection presents a growing opportunity for differentiation in the market.

Read on to learn more about fast-evolving consumer attitudes, new fraud trends, and how to win the payment fraud arms race using layered defenses that leverage the latest technologies, strategies and partnerships.



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Account Takeover

Account takeover involves fraudsters gaining control of bank accounts using stolen credentials in order to transfer funds, apply for credit, create mule accounts and similar.

The account takeover space is a fast-moving battlefield as banks and their customers adopt new behaviors and tools to safeguard accounts, and fraudsters use the latest technologies and strategies to overcome those defenses.

With the right credentials, fraudsters can take control of bank and other payment accounts, or set up and control online facilities for an account where the customer has not already put these in place.

Industry surveys suggest that as many as 29% of people in the US have experienced some kind of account takeover, mostly of social media (53% of those targeted) and bank accounts (42%) – with the latter forming a growing proportion of victims over the last few years.⁴

In our US survey, about half our sample had experienced attempted payment fraud in the last two years, with 25% of these saying someone had tried to take over their account.

Respondents say that email, phone, social media and text are favored attack channels for account takeover.

Across our full sample of respondents, 35% say account takeover is among the top four most worrying kinds of payment fraud.

Traditional bank account defenses such as passwords, security questions and weaker forms of multi-factor authentication (MFA) are becoming more vulnerable.

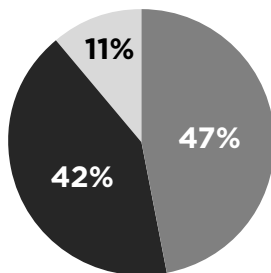
Fraudsters are finding it easier and cheaper to steal credentials through purchasing them on the dark web, searching the web to leverage information inadvertently made available by customers, and stealing information directly from customers through phishing and other strategies.

Data breaches over the last ten years mean that hundreds of millions of US social security numbers (SSNs) are now available to fraudsters, as well as other information such as current and previous addresses. AI is making the theft and matching of credentials easier and cheaper, e.g. through more convincing phishing programs and advanced web searching.

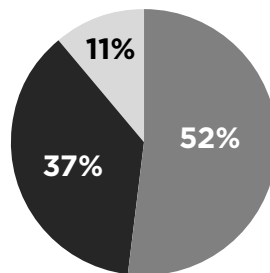
“ Structural shifts in AI-enabled fraudster capabilities mean that banks are expressing concern about what could happen over the next six months.

How concerned are you that personal data available online could make it easier for someone to impersonate you or find answers to security questions?

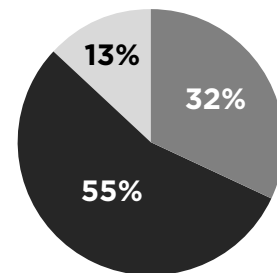
■ Very concerned ■ Concerned ■ Not concerned



All respondents



Age 25-35



Age 65-75

More of those in younger cohorts are 'Very concerned'

One recognized vulnerability is the security or challenge questions that some banks still use to authenticate customers when they forget their password. The answers to these security questions are often related to the customer's past and chosen to be memorable, e.g. their college sports team's mascot or the registration plate of their first car.

Our US survey found that 89% of respondents are concerned that personal data available online through social media and other channels could make it easier for someone to impersonate them or find answers to their security questions – with 47% 'very concerned'.

Meanwhile password protection is vulnerable to automated 'credential stuffing', as attackers leverage both data breaches and customer reuse of passwords to guess username/password pairs.

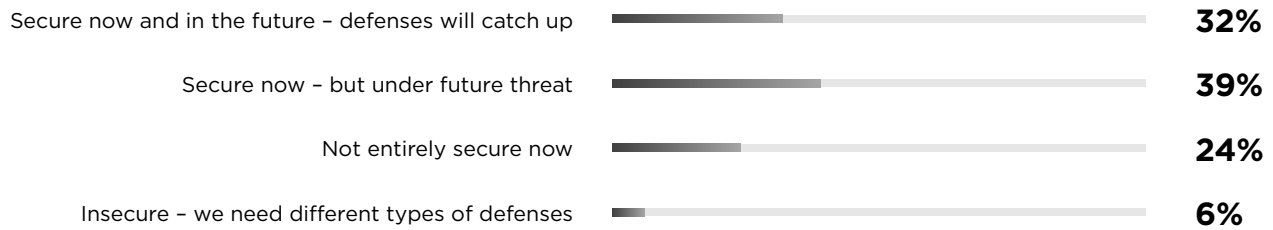
Banks have therefore been rethinking their reliance on passwords, pin numbers and security questions and continuing the shift towards multi-factor, out-of-band (OOB) and biometric authentication – while considering how to make sure these defenses are

more resistant to phishing and technology-enabled attacks, e.g. through cryptography.

Simpler OOB and biometric defenses are coming under threat through a variety of tactics, for example:

- Fraudsters are using social engineering to dupe customers into revealing OOB codes; triggering multiple push requests until the customer allows them access; or using spoof web sites to collect account details – and then sending spoof templates to customers to collect the passcodes sent to them.
- Fraudsters are overcoming OOB codes by taking advantage of mobile vulnerabilities, e.g. by cloning phones, socially engineering mobile company staff into porting mobile numbers to a new SIM card, or conducting sophisticated 'man-in-the-middle' attacks.⁵
- Deep fake technologies are now making some voice and facial biometric identification more vulnerable to fraudsters.

Do you think voice biometrics and facial ID is secure, given advancing deep fake technology?



23% of respondents find biometric scans (face/finger) frustrating or inconvenient
19% of respondents find voice biometrics frustrating or inconvenient

Customers are increasingly aware of the deep fake threat. In our US survey 30% of respondents think that deep fake technologies have made voice biometrics and facial ID either insecure (6%) or not entirely secure (24%).

A further 39% think that these defenses are secure now but under future threat. Only 32% thought that voice biometrics and facial ID are secure now and will remain secure in the future.

Until the last year, most of the banks we talked to in our regular peer-exchange conversations expressed a high degree of comfort about their ability to limit account takeover. However, the structural shift in AI-enabled fraudster capabilities mean that most are now expressing concern about what will happen over the next six months.

Strengthening defenses

Increasingly, banks and other financial institutions will need to take a layered approach that combines many different types of information and defenses – from improving MFA, including OOB and biometrics, and moving towards phishing-resistant strategies, to tracking device IDs and monitoring for behavioral and transaction anomalies.

Layered approaches to preventing and identifying account takeover can include:

- Examining IP addresses and device IDs to see if these match the usual addresses and device IDs of the individual
- Analyzing session details through various lenses such as click patterns or whether an individual is logging on in line with their usual routine
- Monitoring an account for anomalies in transaction types, timings and behavior
- Leveraging cross institution data sources for identification of compromised accounts and activities
- Matching account information with publicly available data for authentication
- Monitoring of social media sites for fraudster activities and targeted institutions
- To keep pace with automated and AI-enabled attacks, AI will need to be deployed to identify fraud patterns for both expected fraud use cases and unexpected fraud activities.

The successful defenses of the future will need to marry different kinds of information together in near real-time using AI and algorithms adapted to the bank's unique customer base – so that banks can spot signs of account takeover while minimizing the false positives that annoy customers.

To combat account takeover and other types of fraud, organizations may need to leverage agentic AI to speed up complex sets of tasks (see box, page 12).

Banks will also need to consider how they bring together fraud information gathered by different internal teams – such as cyber, fraud, AML, operations, sales, customer service representatives and IT – and how those teams can better work together.

To take advantage of fast-evolving new defensive tools, they may need to reformulate strategies for making the most of third-party vendors, while also ensuring resilience to third-party risk.

A key component of this process is the direction that senior management needs to provide to the organization about key goals and objectives, considering not only the fraud perspective but also business expectations.

For example, what is the fraud risk tolerance for the organization? Does the organization provide a budget for fraud prevention that is consistent with this risk tolerance when developing new products, services or channels?

Across defensive layers, banks and other institutions will have to balance the need to prevent account takeover with the customer's desire for convenience.

Finding the right strategy will mean understanding the latest threats in relation to the institution's unique fraud risk tolerance, brand and business goals. However, many banks still lack a clear vision for defining fraud tolerance and how it, and other dynamic variables, should inform their decisions on fraud prevention.

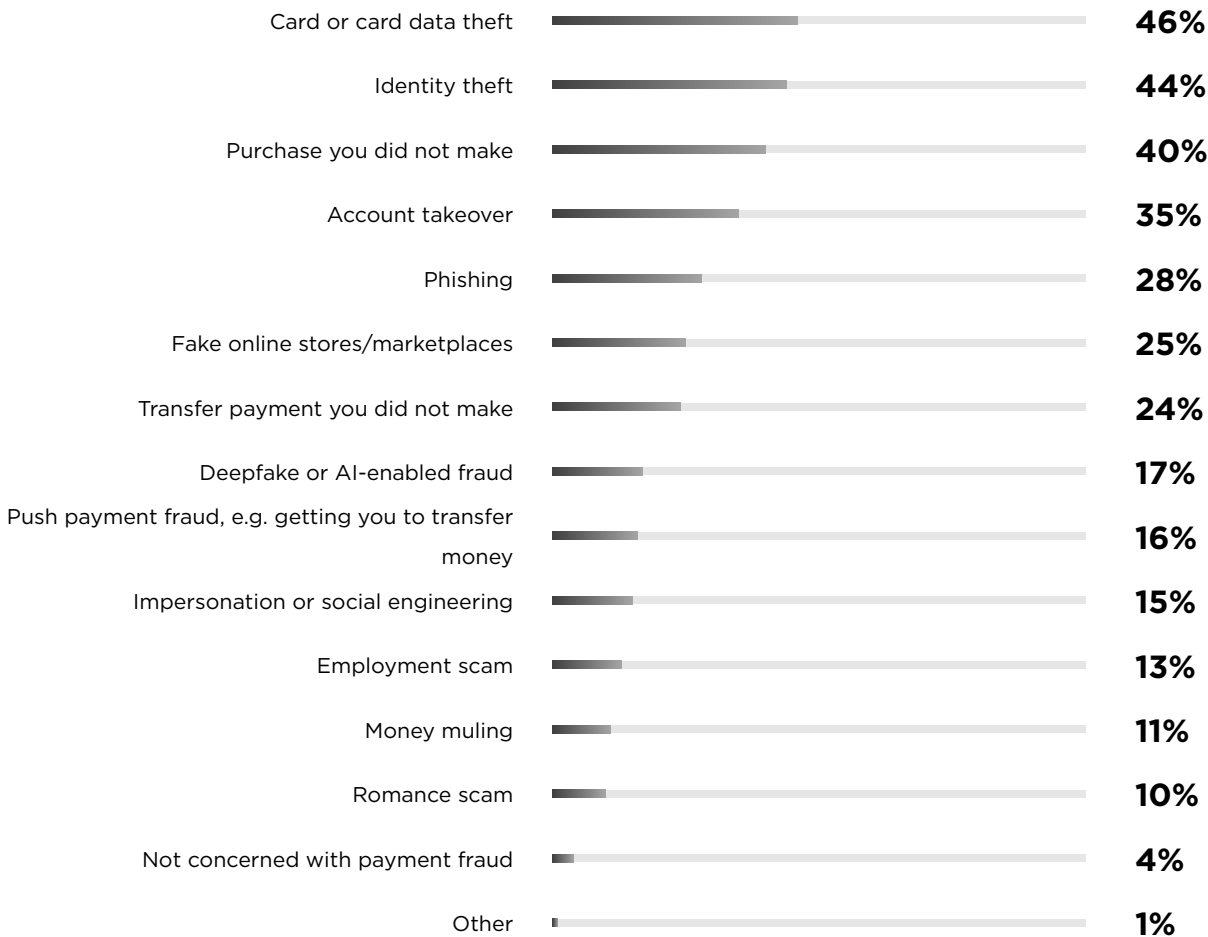
Takeaway: The account takeover space is evolving fast as fraudsters race ahead in the technology and AI arms race. Banks and other institutions need to set out an integrated, layered approach to preventing account takeover that is aligned with the bank's well-defined fraud tolerance.

Awareness & experience of payment fraud

Percentages in this report might not total 100% due to rounding.
For survey methodology & demographics, see page 41.

What kind of payment fraud concerns you most?

4 selections permitted, base: 1,000



Have you experienced any attempted payment fraud in the past two years (successful or not)?

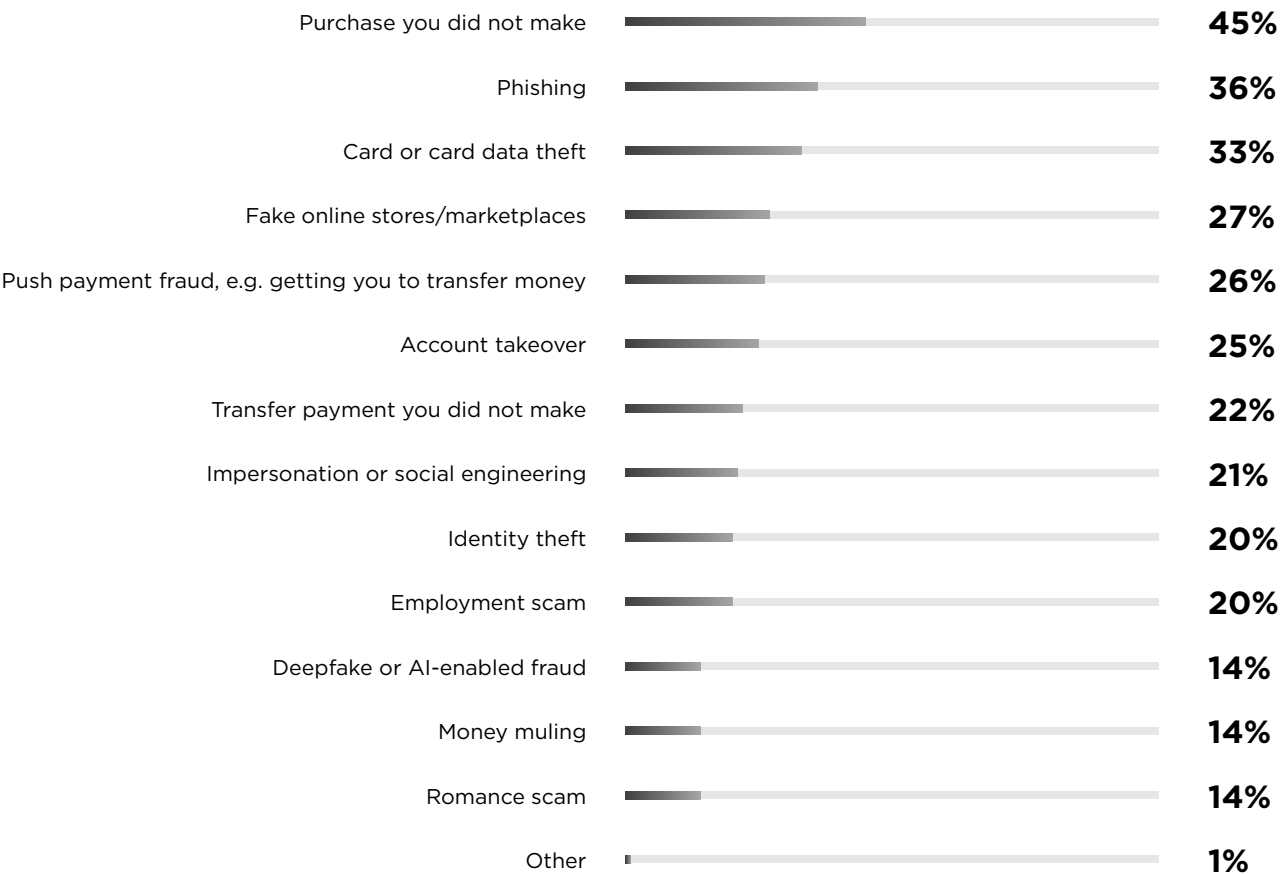
Base: 1,000



The percentage replying 'Yes' rises to 58% for those aged 25-35

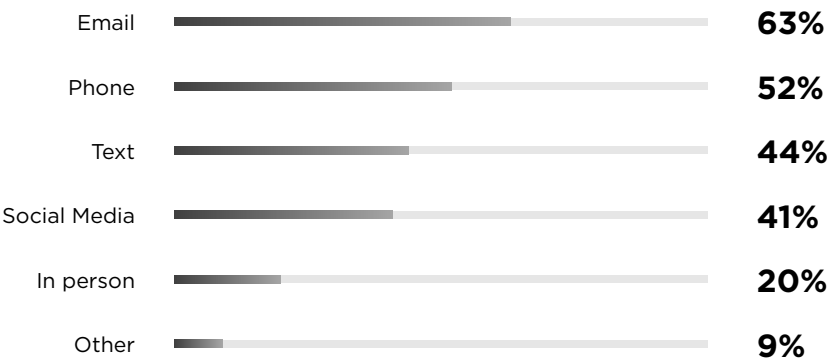
Which type of payment fraud was attempted?

Multiple selections permitted, base: 485 (All those that suffered an attempted payment fraud)



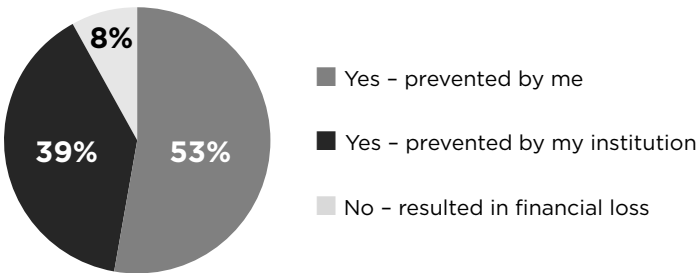
Which communication channels were used to attempt the fraud?

Multiple selections permitted, base: 485 (All those that suffered an attempted payment fraud)



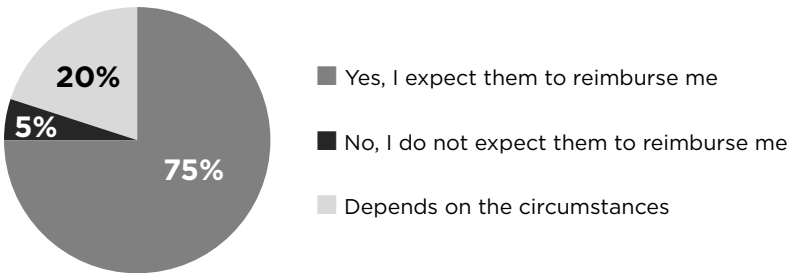
Was this fraud attempt prevented by you or your financial institution?

Base: 485 (All those that suffered an attempted payment fraud)



Do you expect financial institutions to reimburse you in the event of payment fraud?

Base: 485 (All those that suffered an attempted payment fraud)



AI agents and the prevention of payment fraud

Future payment fraud prevention strategies may take on a hybrid flavor as AI agents are applied alongside conventional rules engines, traditional ML scoring and standalone GenAI tools.

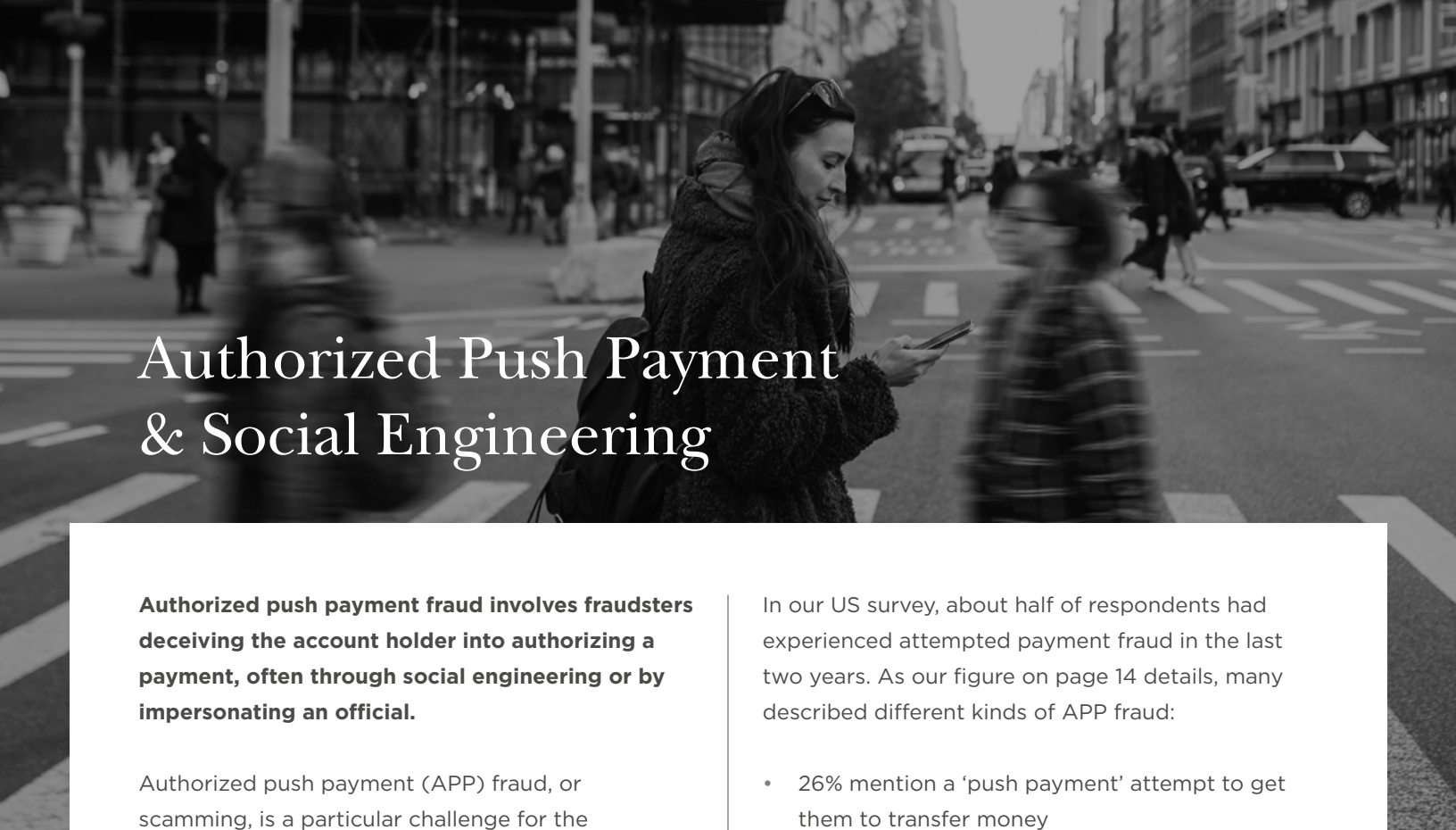
AI agents can apply complex reasoning to perform multi-step tasks, often as part of a system in which multiple agents perform specialized functions, relay outputs to each other, and coordinate their actions.

Agentic systems therefore have the potential to improve and speed up the complex multi-step tasks required to prevent payment fraud such as accessing and analyzing different sets of data and risk signals; asking for further information; reaching complex decisions; applying step-up controls; and involving human investigators. For the moment, the use of agentic AI is arguably more advanced in AML than payment fraud, but the need for real-time decisioning and scaled interactions with customers suggests that agents could become critical to preventing certain kinds of fraud.

For example, account takeover, synthetic identity and APP fraud are areas where agents could assist in monitoring a large variety of initial risk signals and complex industry networks and channels, e.g. to reveal mule networks, before carrying out multi-stage tasks and evaluations. This could help organizations move towards much more dynamic scam interruption strategies.

There are, however, many challenges. Like other AI approaches, agentic AI must be closely governed and explainable to regulators, partners and customers. Agentic approaches need to be aligned with evolving regulatory expectations across dimensions such as AI and model risk management frameworks, data quality, privacy, fairness, demonstrable control and documentation – likely including audit trails with logs of agent decisions and actions.

As a system of agents is no longer a single model, it demands system-level oversight. The guardrails, assumptions and limitations built into each agent and how they interact – and how any remaining weaknesses are mitigated – will need to be set out. So will any risk, sensitivity and stability testing used to strengthen the agentic framework and prevent it from becoming a security risk. Finally, as autonomous systems begin to blur operational boundaries – including those between machine and human judgement – defining accountability and responsibility clearly will become ever more critical.



Authorized Push Payment & Social Engineering

Authorized push payment fraud involves fraudsters deceiving the account holder into authorizing a payment, often through social engineering or by impersonating an official.

Authorized push payment (APP) fraud, or scamming, is a particular challenge for the payments industry. By using deception to persuade account holders to authorize payment, fraudsters circumvent the elaborate defenses set up by banks and other payments market participants – including even sophisticated multi-factor authentication.

As defensive technologies improve, fraudsters increasingly regard customers themselves as the weakest link, with cybersecurity firm BioCatch noting a 65% rise in scams reported by its customers between 2024 and 2025, and scams in the US and Canada quadrupling since 2023.⁶

APP frauds have become a particular threat in the light of the growth of real-time, account-to-account payments (see box, page 20).

“ Fraudsters see customers as the weakest link, with impersonation-driven scams an increasing threat – especially for vulnerable segments.

In our US survey, about half of respondents had experienced attempted payment fraud in the last two years. As our figure on page 14 details, many described different kinds of APP fraud:

- 26% mention a ‘push payment’ attempt to get them to transfer money
- 20% specify an employment scam such as a fake job offer, and 14% specify a romance scam
- 21% say the attempted fraud involved impersonation or social engineering, e.g. someone pretending to be a family member, bank staff or company representative.

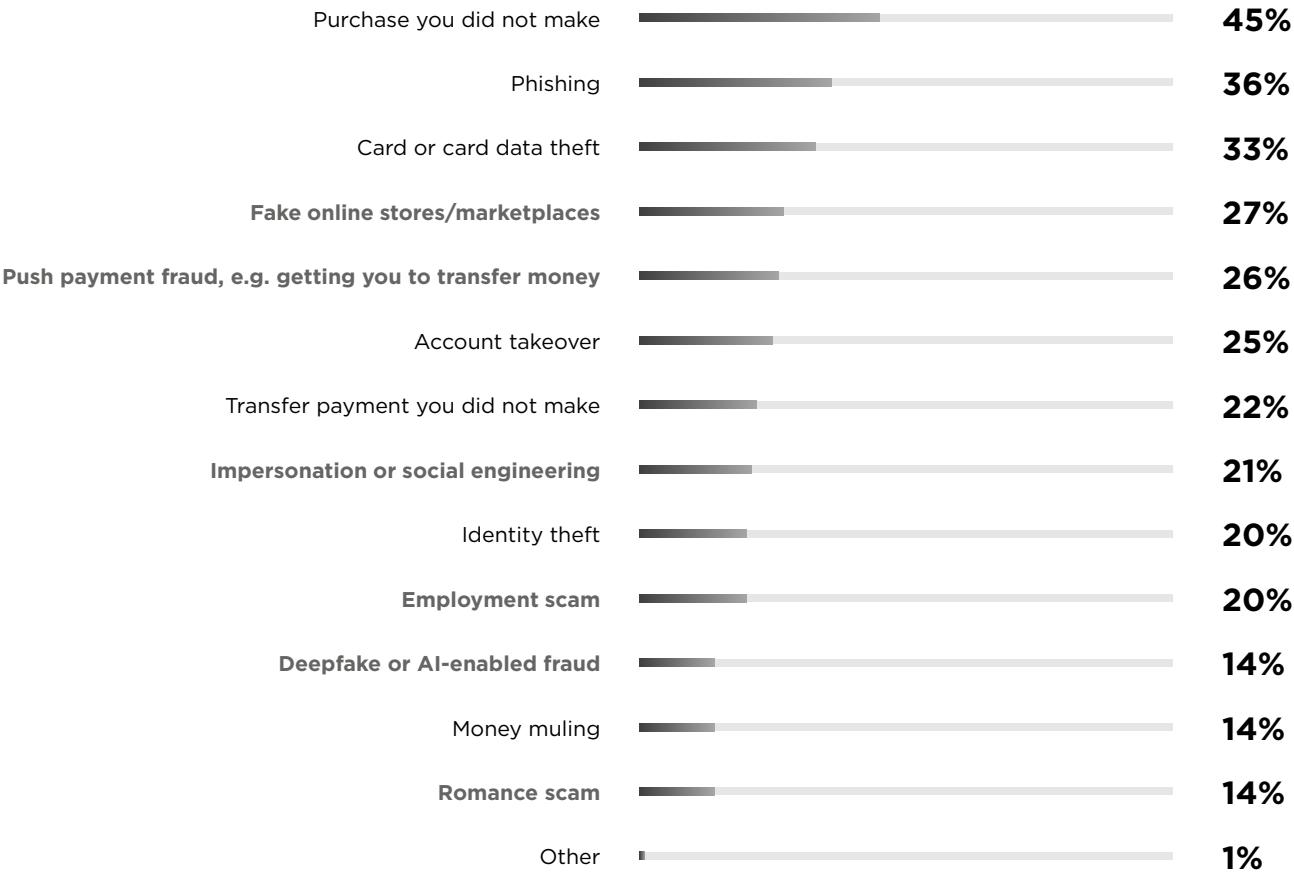
Imposter-driven scams have risen sharply in the US since 2020, leading to reported losses of \$3.5 billion in 2025, with new rules against impersonating government and business personnel taking effect in Spring 2024.⁷ Scammers often pretend to be professionals such as tax officials, bank staff, computer experts and even officials from consumer protection agencies.

They may initiate scams by pretending they are looking into computer security issues, suspicious activity on merchant or bank accounts, or cases of identity theft.

Which type of payment fraud was attempted?

Multiple selections permitted, base: 485 (All those that suffered an attempted payment fraud)

Fraud type associated with APP



Fraudsters are often armed with the personal details of the customer, gained from phishing or ecommerce breaches, and may exhibit detailed knowledge of bank processes and authentication routines.

Impersonation scams increasingly target vulnerable customer segments. In summer 2025, the Federal Trade Commission (FTC) announced a more than four-fold increase in reports of impersonation scammers stealing \$10,000 or more from those aged over 60. Total losses from older individuals defrauded of more than \$100,000 increased eight-fold between 2020 and 2024, to \$445 million.⁸

The use of AI to generate convincing audio and video is a growing concern, e.g. fake videos of CEOs authorizing business payments, impersonations of relatives who have suffered misfortune while traveling abroad, or sophisticated collateral around fake charities. However, in our US survey, 38% of respondents said they had not been provided with – or could not recall being offered – any information or guidance by their financial institution about the deepfake threat. This drops to 28% of those with annual household incomes above \$80,000.

A lot of APP fraud begins with relatively simple strategies, such as sending text messages.

The FTC says that the amount reported lost from text-initiated scams in 2024 was five times that lost in 2020.⁹

The scams take several forms including messages about misdelivered packages; ‘wrong number’ texts used to initiate romance scams; and ‘task scams’ where victims pay to be allocated tasks – and then pay more to release their supposed earnings. The FTC says task scams increased massively from near zero in 2020 to 20,000 in the first half of 2024.¹⁰

Fraudsters also often send deceptive emails to initiate a payroll diversion, e.g. fooling HR personnel into changing a payee’s details or phishing an employee’s HR login credentials. AI is helping to automate this kind of fraud and make it more cost effective, e.g. in terms of faking and sending out large numbers of convincing emails.

APP frauds for large amounts of money such as investment scams, charity scams, student loan scams and romance scams, tend to grab the public’s attention. Investment fraud, often linked to cryptocurrency scams, is responsible for the most reported losses, reaching \$6.5 billion in the FBI’s 2025 annual internet crime report.¹¹ Criminal networks based in the APAC region are an increasing menace, with Americans estimated to have lost over \$10 billion to them over the period of a year.¹²

However, APP fraud also includes email phishing for smaller amounts, with fraudsters often texting fake charges crafted to look as if they are from legitimate service providers such as a toll road.¹³

Strengthening defenses

The rising tide of APP fraud is a pressing concern for banks and other payment market participants. One key defense is to continually screen new

payment details as they are set up, e.g. against details already discovered to be problematic by the bank or consortiums it belongs to. Most people set up payments with people they already know, so algorithms can associate risk probabilities with unknown or higher-risk risk payees and their account details.

Creating and continually updating customer fraud risk scores can also help identify APP fraud risk – and help differentiate it from first-party fraud. As we describe in more detail in the concluding section of this report, not all customers have the same expected transaction types or risk profile.

Data dimensions such as customer longevity, past fraud incidents and chargebacks, and the stability of personal information can be combined into a score that helps predict customer vulnerability to APP and other fraud types.

Meanwhile, automated tools can examine transaction data, customer data and session data to identify APP fraud transactions. In the case of APP, some of this data may look unsuspicious because the person using the account is the account owner. However, behavioral biometrics can look for signs that the account user is being directed by another person, is under stress, taking longer to complete actions, or completing actions in unusual ways.

Another key defense is to educate customers about emerging risks. Increasingly, this education may need to be integrated with in-line warnings to customers who are about to make a payment – potentially including contextual reasons explaining why the bank is concerned.

Bank staff may also need to be trained in how to ‘break the spell’ placed on customers by fraudsters, who often deceive their victims into thinking that bank staff or systems have been corrupted.

Customers are not the only weak link. Fraudsters are exploring how to fool banks into thinking the payment has been implicitly authorized by the customer, even when it has not. For example, a small amount of money deposited into an account in what looks like a legitimate business name will tend not to be rejected by the customer. That may fool some bank systems into later allowing a larger sum of money to be withdrawn from the account.

Across fraud types, one key challenge is to find the right balance between using off-the-shelf tools and those that leverage the bank's own data.

The attraction of the latter is that algorithms can be tailored more precisely to the bank's footprint, e.g. its customers' behaviors and payment types. These differ across institutions leading, for example, to a different optimal set of defenses for East Coast city banks versus, say, Mid-West banks with a lot of agricultural customers.

Some institutions might choose to control APP risks by limiting new customer online payments to \$500, or limiting more established customers to \$1,000 per transaction alongside a 3-5 day

limit and a monthly limit. However, each defensive measure represents a tradeoff against the customer experience and needs to be in line with the bank's commercial goals.

In summary, the key pillars for APP risk control are strong and continuous verification of:

- payee information
- transaction monitoring
- education and in-line warnings for customers, with assessments of their effectiveness
- improved training for employees including testing
- the right mix of multi-layer security that preserves an optimal customer experience.

To get the formula right, banks and other financial institutions will need to understand their own fraud risk tolerance as well as the balance their customers want to achieve between security and autonomy.

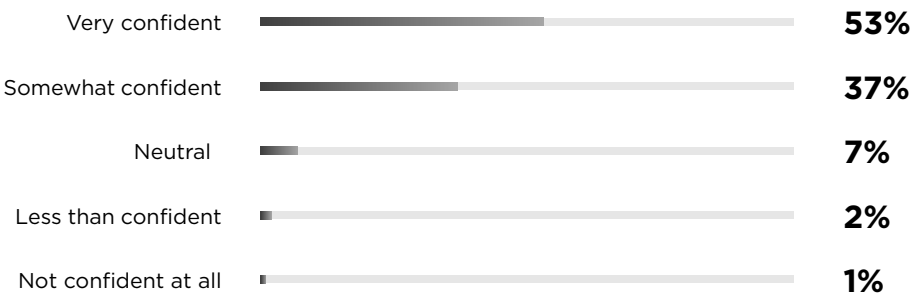
Takeaway: Banks and other institutions must work with their customers to defeat the rise of APP fraud as fraudsters take advantage of new payment rails and emerging deep fake capabilities. Alongside payee verification and real-time account monitoring, customer education and personalized in-line warnings will prove critical.

Balancing trust, security & convenience

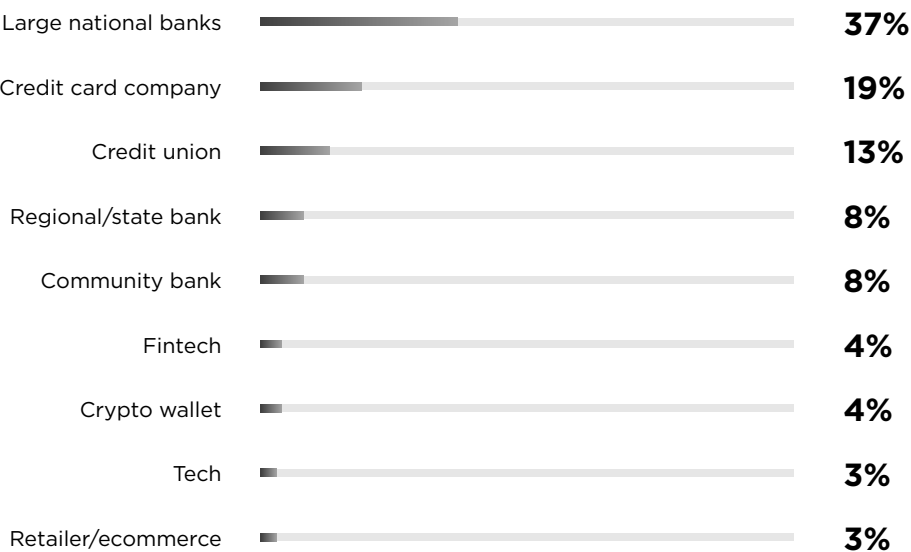
Percentages in this report might not total 100% due to rounding.

How confident are you that your primary financial institution will protect you from payment fraud?

Base: 1,000



In the event of payment fraud, which institutions would you most trust to resolve your issue quickly and effectively? Select only the most trusted, base: 1,000



Survey Results: Part 2

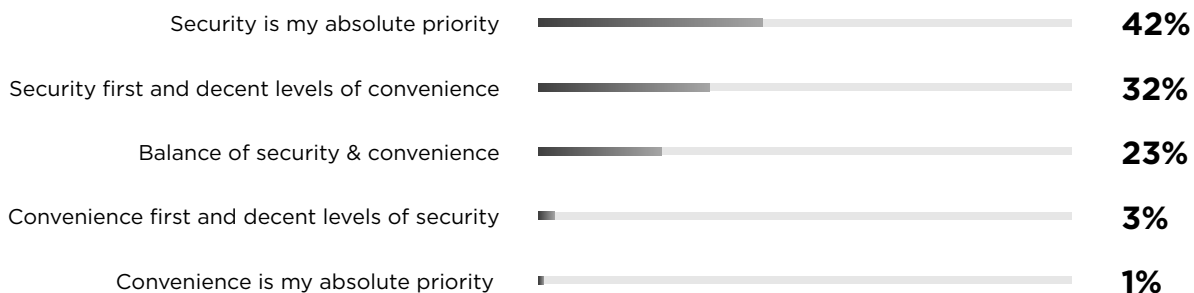
Which of the following are the most important factors when choosing a financial institution that offers payment services? 4 selections permitted, base: 1,000



81% of those aged 65-75 years old selected 'Security'

When it comes to balancing security and convenience, which statement best captures your attitude?

Base: 1,000





40%

of respondents find complex passwords
frustrating or inconvenient to use



32%

of respondents find being sent security
codes frustrating or inconvenient



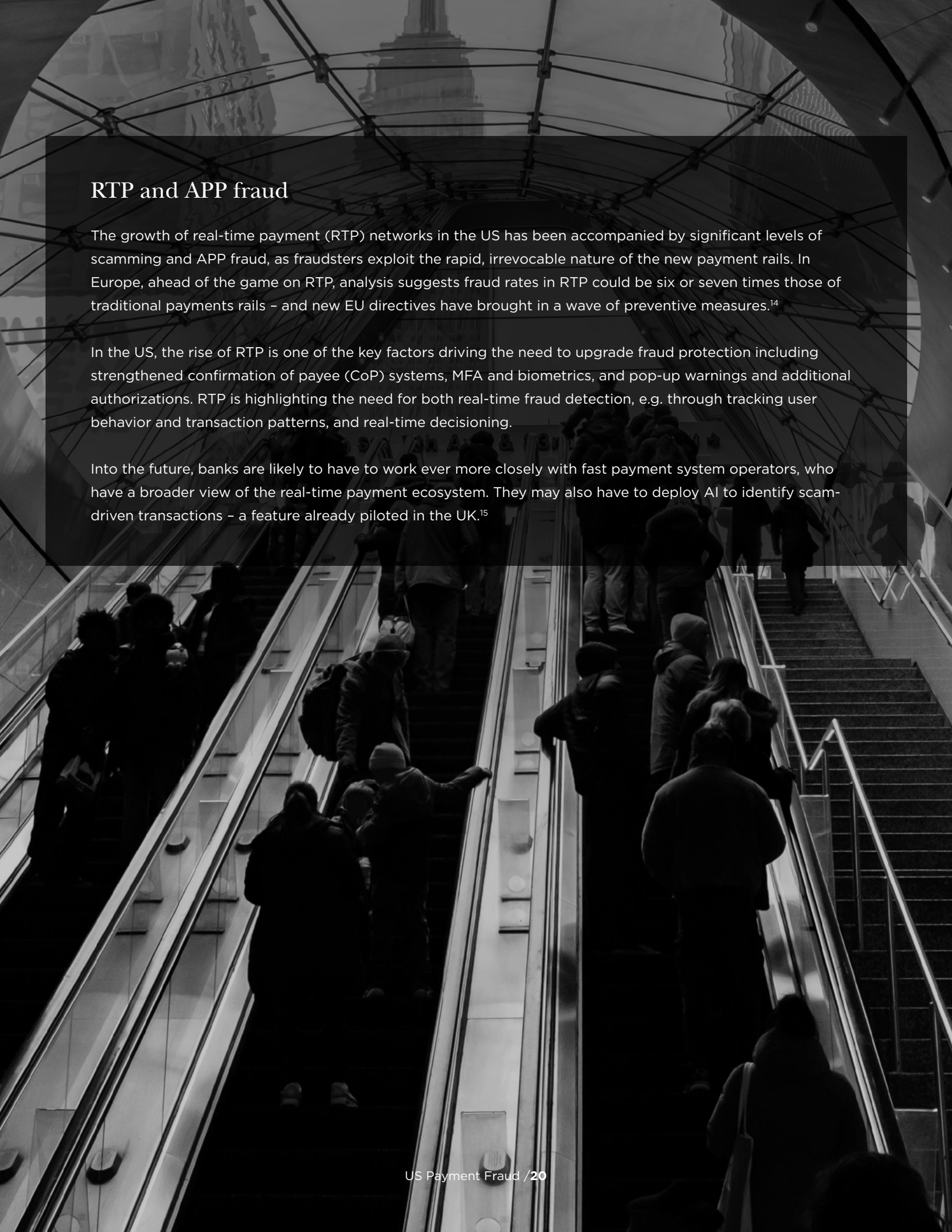
28%

of respondents find challenge/security
questions frustrating or inconvenient



20%

of respondents find mobile or email notifications
of account activity frustrating or inconvenient



RTP and APP fraud

The growth of real-time payment (RTP) networks in the US has been accompanied by significant levels of scamming and APP fraud, as fraudsters exploit the rapid, irrevocable nature of the new payment rails. In Europe, ahead of the game on RTP, analysis suggests fraud rates in RTP could be six or seven times those of traditional payments rails – and new EU directives have brought in a wave of preventive measures.¹⁴

In the US, the rise of RTP is one of the key factors driving the need to upgrade fraud protection including strengthened confirmation of payee (CoP) systems, MFA and biometrics, and pop-up warnings and additional authorizations. RTP is highlighting the need for both real-time fraud detection, e.g. through tracking user behavior and transaction patterns, and real-time decisioning.

Into the future, banks are likely to have to work ever more closely with fast payment system operators, who have a broader view of the real-time payment ecosystem. They may also have to deploy AI to identify scam-driven transactions – a feature already piloted in the UK.¹⁵



Payment Card & Emerging Digital Payment Fraud

Payment card fraud is the fraudulent use of debit cards, credit cards and prepaid cards by stealing the card or card information, e.g. to commit card-not-present fraud.

Today's payment card fraudsters often do not need to steal the physical card: industry surveys suggest that over 90% of credit card fraud involves cards still in the owner's possession.¹⁶

Instead, fraudsters purchase card numbers and personal credentials from the dark web, or collect them using tactics such as skimming attacks, email scams, fake websites, and fake card readers installed in outlets such as a petrol stations.

They can then use the stolen credentials to make 'not in person' transactions or, more rarely, in-person transactions via a digital wallet.

Key drivers of payment fraud in recent years include the shift to ecommerce since the pandemic and the increasing tendency for consumers to store card and identity information on the web.

Our US survey asked respondents which kinds of payment fraud concerned them most. The largest percentage (46%) selected card and card data theft – beating identity theft into second place (44%). Around half of our US respondents have

experienced attempted payment fraud over the last two years, and 33% of these say the fraud involved card or card data theft.

Many others mention incidents likely to be linked to card fraud or stolen card data, with 45% noticing purchases they believe they did not make and 27% mentioning spoof online stores. Over a third (36%) say the fraud attempt involved phishing, e.g. through fake emails, which is a common technique for collecting card details.

A recent Visa report highlights that website skimming attacks, which insert malicious code onto merchant websites to harvest payment account data, are a particular threat in North America.¹⁷

The region now accounts for 51% of global skimming detections. The report also notes the rising threat of enumeration attacks – automated attempts to test payment data credentials – which it estimates lead to over a billion dollars of follow-on fraud.

“An alarming feature of card payment fraud is its velocity, with organized gangs quickly learning which banks are stragglers in the fraud arms race.

Perhaps the most alarming feature of card payment fraud is its potential velocity. Organized gangs quickly learn which banks are stragglers in terms of preventing certain kinds of card payment fraud. Banks under attack can find that losses for the year double within a single month and then double again the next month if they do not get on top of the problem.

Once fraudster gangs detect a weak link, the amount of attempted fraud increases at an exponential rate. A spike in fraud quickly leads to rapid increases in customer friction, as the bank halts legitimate as well as illegitimate card transactions. Smaller banks also point to labor costs and labor shortages as they build the case for charge backs from larger ‘merchant acquirer’ banks within strict time limits.

Strengthening defenses

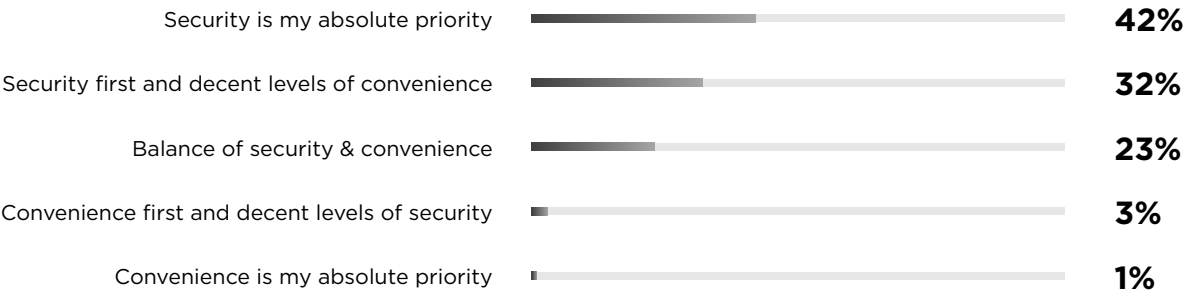
To avoid being seen as stragglers, institutions should benchmark the strength of their preventive mechanisms versus those of their peers. Below we set out some of the key strategies available when strengthening defenses.

Balancing security and convenience:

- Banks and other payment providers are often reluctant to inconvenience customers with preventive measures, e.g. insisting on out-of-band (OOB) authentication for payments of a certain size or risk. Our US survey suggests that while most customers prioritize security, the exact balance they are seeking varies: 42% say security is an absolute priority; 32% would put security first while preserving decent levels of convenience; and 23% opt for a more equal balance of security and convenience. Institutions can explore various strategies to find a balance that suits both their risk tolerance and customer demands.
- One option is to educate customers about the risks of payment fraud and the various types of security that are available. Encouraging customers to choose their own defenses with lower or higher levels of security, e.g. OOB authentication on all card-not-present transactions, can enhance security while reducing the amount of friction perceived by the customer.

When it comes to balancing security and convenience, which statement best captures your attitude?

Base: 1,000



Monitoring for anomalies:

- The key defense against payment card fraud is to look for anomalies in the stream of transactions and customer behavior.
- For example, the card might be used at two locations unfeasibly distant from each other within a short timeframe; an analysis of all transactions from a specific payment service operator (PSO) or related point of sale (POS) might identify a pattern of historical fraud; or the card might be used in ways that contradict behavioral norms.
- To support anomaly detection, some large banks and card issuers employ large teams of PhD-level analytical experts to build the best models and feed them with the right data. However, mid-sized banks – even those with \$50-100 billion in assets – struggle to devote the same level of resources.
- For these banks, it is critical to build the right vendor and partnership strategy so that they can apply the latest AI tooling to real-time monitoring, location analysis and behavioral analysis, while also leveraging credit card providers' own tools.

Joining consortia and data partnerships:

- Consortium data can provide vital information such as lists of compromised bank accounts and IP addresses. While for many banks, consortium data is a major help, those with an atypical customer base or business model can find it less useful.

- Data drawn from exploring dark web activities can also be leveraged to improve fraud detection; banks and other payment providers need to review their strategy regularly in this fast-moving area.

Managing merchant risk:

- Through their own data or consortium data, banks can learn which retailers are associated with elevated levels of payment fraud and trigger step-up authentication or prevent cards being used by barring specific POS system identifiers.
- A key factor is speed of analysis to identify changes in merchant behavior and stop payments before significant losses occur. Additionally, FBI information about high-risk locations for fraud can assist in the risk rating of individual transactions.
- Getting this right means building the optimal strategy for working with third-party platforms, government data, consortia and specialist vendors – while selectively investing in improved policy, data and trend analysis.

With payment fraud evolving fast, institutions need to continually reassess their strategy across a range of key decision factors.

These include the relative and evolving strengths of different vendors, cost of services at different scales, stack integration, privacy and security considerations, availability of data and use of vendor/consortium data versus own data.

Cost is not the only consideration. Institutions considering building solutions internally must consider if they have the core skills available and will be willing and able to continue investing to improve those skills.

The right strategy should also be driven by considerations such as the enterprise's tolerance for payment fraud and how it differentiates itself in the market. For example, making deposited funds available to customers by the next business day is a competitive advantage, but can prove expensive

if checks deposited near the end of the day allow funds to be spent or withdrawn before they are confirmed.

We see considerable differences in the philosophies of different institutions: some regard relatively high levels of fraud as cost of doing business, while others find it unacceptable even at low levels. As new types of fraud emerge and bank loss velocities increase, fraud tolerance and other top-of-house decision factors will need to be revisited.

Takeaway: Institutions need to explore their risk tolerance for payment card fraud and use peer benchmarking and gap detection to guide investment in preventive and analytical tools. Monitoring emerging fraud tactics and crafting the right vendor strategy will help ensure they do not fall behind the herd.

Deep fakes, AI-enabled fraud & data-driven ID theft

Percentages in this report might not total 100% due to rounding.

Do you think voice biometrics and facial ID is secure, given advancing deep fake technology?

Base: 1,000



23%

of respondents find biometric scans
(face/finger) frustrating or inconvenient



19%

of respondents find voice biometrics
frustrating or inconvenient

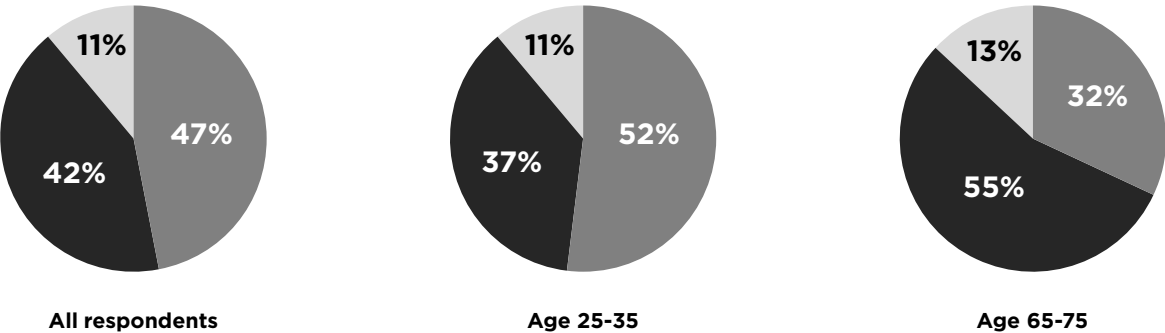
Has your financial institution provided you with any information or guidance about deepfake threats and how to reduce the associated risks? Base: 1,000



53% aged 55-65 have not been informed about deep-fake or do not recall this, compared to 26% aged 25-35.

How concerned are you that personal data available online could make it easier for someone to impersonate you or find answers to security questions? Base: 1,000/265/100

Very concerned Concerned Not concerned



More of those in younger cohorts are 'Very concerned'

Managing emerging digital payment risks

Over the past few years, many US banks have introduced real-time payment without being fully prepared to combat the fraud risks associated with almost instant and irrevocable settlement. Banks considering stablecoin can learn the lessons.¹⁸

When some US banks started providing real time payment and digital payment platforms to their clients, the amount of fraud increased. Some institutions did not plan appropriately for the staffing requirements necessitated by a sharp rise in fraud alerts; others did not plan in enough detail regarding the set of customers permitted to transact and any associated limits.

Without a history to draw on, banks must think through how an emerging digital payment service is likely to be used, given the nature of the bank's customers. Real-time payment services were quickly adopted for distinct purposes, e.g. older generations sending money to younger generations. Banks that understood this early on were better placed to craft fraud prevention measures and invest in the right customer fraud literacy programs.

Banks that hope to facilitate stablecoin should have customer fraud scores in place before services commence; explore what early customers will use stablecoin for; and understand the most likely fraud scenarios and related fraud prevention measures. They will need to monitor early fraud trends as these become evident inside and outside the institution. As part of the customer fraud risk score, key third-party due diligence must be considered alongside the customer's history with the institution itself.

Customer fraud scores help the bank decide in advance whether, how much and when they are going to allow each customer to transact using new technologies. Letting a brand-new customer transact on a brand-new network may not make sense. Without the proper preparation and staged roll-out, banks may be surprised by the speed at which fraud develops and forces them to change their plans.

Gradual releases that control exposures and allow banks to gather information can make the most sense. Where banks move faster for competitive reasons, this should be constrained by a well-defined fraud tolerance and accompanied by a strategy to gather and act on early fraud trend information during the first 90-180 days of going live.



Identity & Synthetic Identity Fraud

Identity fraud is the use of stolen personal identity information to open new accounts or lines of credit in a real person's name, while synthetic identity fraud combines real and fake information to create new false identities.

A common goal of identity fraudsters is to open bank accounts to apply for loans and other financial products such as credit cards, or to use them as mule accounts to launder money from other kinds of fraudulent activity. The FTC received 1.1 million reports of identity theft in 2024 – an increase of 9.5% on the previous year.^{19,20}

When our US consumer survey asked respondents which kinds of payment fraud concerned them most, 44% of respondents selected identity fraud. As the figure on page 29 illustrates, this is the second-highest percentage after card and card data theft (46%).

Around half of our respondents have experienced an attempted payment fraud in the past two years, with 20% of these saying the attempt involved identity theft.

While identity fraud has some of the same goals as account take-over, the preventive mechanisms are quite different. Preventing account takeover

focuses on monitoring for unusual account activity, while stopping identity fraud means improving procedures around establishing a customer's identity and opening accounts – and making sure credit-related identity fraud is recognized as fraud rather than credit loss.

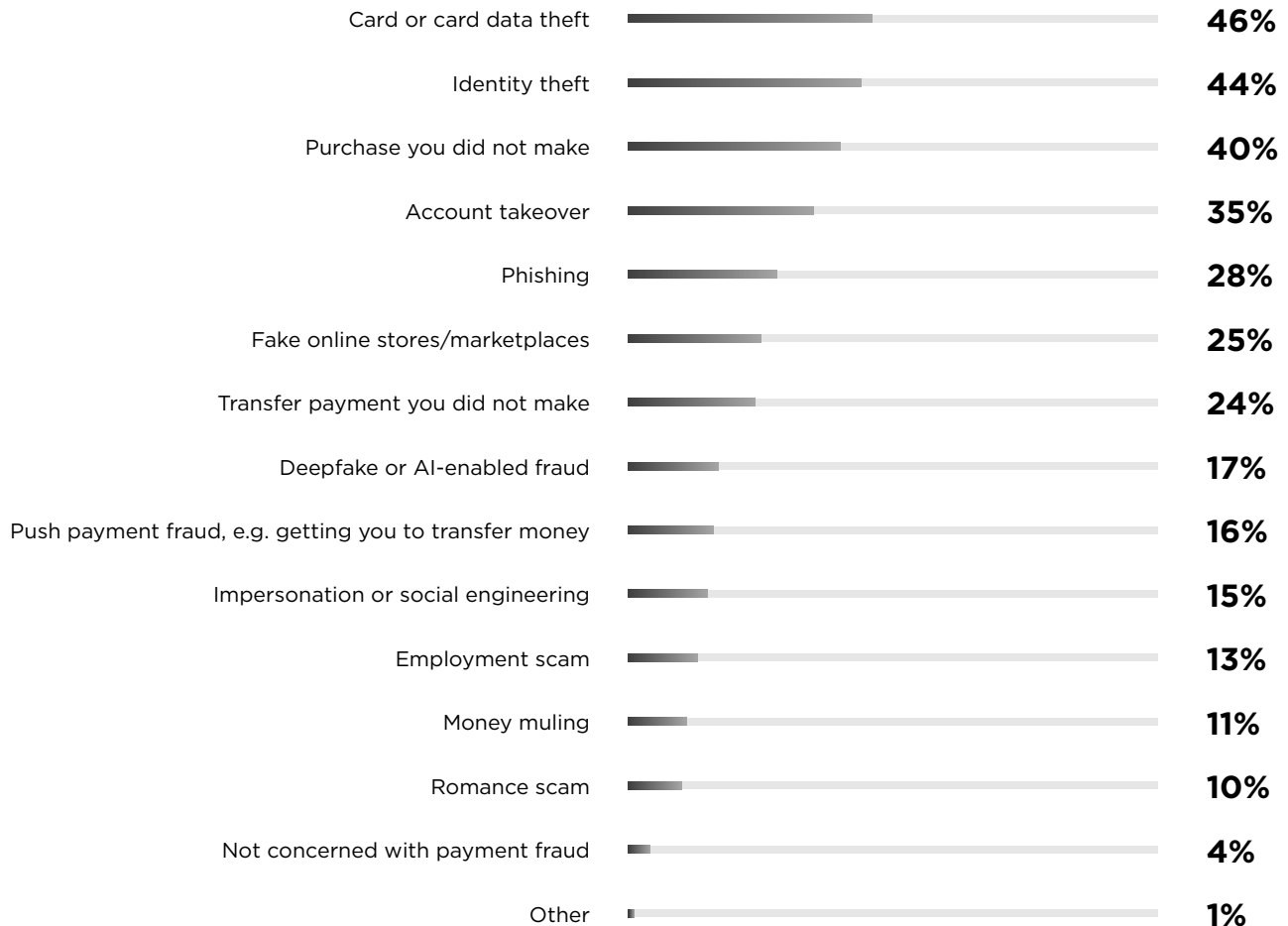
AI-enabled identity fraud is an emerging threat. From 2023, FinCEN has seen an increasing use of deepfake media in identity fraud schemes, particularly for altering or faking identity documents, photographs and videos to fool authentication processes.²¹

While often credible, fakes can be detected through means such as comparing images to libraries of images online; looking at the image's metadata; using specialized deepfake detector software; or spotting inconsistencies between identity credentials and the wider customer profile.

In a recent paper, Capco's experts set out the key countermeasures for preventing AI-driven fraud, highlighting the need for AI-powered detection systems to identify anomalies in real time. Defenses can include behavioral analysis and digital identity verification through means such as analyzing keystroke dynamics.^{22,23}

What kind of payment fraud concerns you most?

4 selections permitted, base: 1,000



Synthetic identity fraud, a special case of identity fraud, is one of the fastest-growing types of fraud in the US. The percentage of newly opened bank credit card accounts associated with synthetic identities reached an all-time high in mid-2024, more than doubling from mid-2021.²⁴

Auto loans have been a particular target in recent years, with lenders exposed to an estimated \$2 billion of synthetic identity debt by mid-2024.²⁵

Creating a synthetic identity often involves mixing real data – such as a social security number obtained on the dark web or stolen from a child or a deceased person – with credible fake data to create a convincing new persona.

For some purposes, data from school age children is attractive because they lack existing credit histories and are unlikely to be monitoring their credit profiles.²⁶

As FinCEN has highlighted, deepfake technologies are now being used to create elements of synthetic identities and open accounts used to launder other payment frauds, such as APP fraud and credit card fraud.²⁷

The Federal Reserve concurs that GenAI is being used to automate the creation of synthetic identities, e.g. by fusing stolen credentials in the most efficient way and creating authentic-looking documents.²⁸ AI tools are making it increasingly easy to fake photos and overcome liveness checks.

Digital identity farms in Southeast Asia have industrialized synthetic identity strategies. Criminal gangs open new bank accounts using mass stockpiles of cheap smartphones, stolen personal data and ID cards. Despite recent crackdowns Southeast Asia, e.g. Thailand, the gangs are highly adaptable and are expanding operations around the world.^{29,30}

“ Synthetic identity fraud, one of the fastest-growing fraud types in the US, is increasingly enabled by GenAI technologies.

Strengthening defenses

To fight increasingly well-organized, AI-enabled identity fraud, banks and other payment providers need to continually improve across several key areas:

- **Conduct detection gap analyses** to improve the overall response to identity fraud and the associated analytics, e.g. is the bank gaining cost-effective access to the best models; leveraging the most powerful real-time data; and working with other industry actors and the authorities to identify the latest fraud tactics?

- **Strengthen policies and control environments** surrounding account set up and loan approvals in line with the latest trends in synthetic and first-party fraud (see box, page 32). It is important to review not only authentication activities but also the credit and collections process. Banks will need to deploy the latest technologies for biometric authentication, sophisticated liveness testing, real-time data matching and AI-driven document authenticity analysis.
- **Avoid misattributing identity fraud** as credit loss. It can help to systematically leverage tools such as local FBI working groups to identify emerging synthetic identity fraud tactics and then forensically examine relevant and suspicious ‘credit loss’ cases.
- **Improve awareness of previous use of the same synthetic identity**, or key elements of it. For example, a home loan applicant may already have been turned down for a credit card or a car loan. Banks can spot stolen and synthetic identities by subscribing to consortia, e.g. Early Warning Services, that track fraud-related identities and related information such as account numbers and device IDs.
- **Educate customers** and explore optimal ways to share the latest fraud scenarios with the public, e.g. through leveraging social media.
- **Coordinate all activities** related to fraud prevention and ensure that the actions taking place are aligned with: the bank’s key business objectives; the products, services and channels the bank provides; the bank’s customer mix including improved segmentation; and trends in the transactions completed by customers. A well-defined and measurable process for the continuous improvement of team coordination should be implemented.

Call centers often have a high turnover of staff who need training and automated tools to help them identify fraud scenarios and how to react, e.g. regarding whether they should release accounts or transactions put on hold by another preventive system. Common identification tools such as phone

ID matches and challenge questions are increasingly coming under attack. As the deep fake challenge evolves, internal teams will need to be regularly trained to understand new AI-driven threats and the countermeasures that they can deploy.

Takeaway: AI-enabled tactics could cause identity fraud to explode. Banks and other payment providers need to win the arms race by conducting detection gap analysis, strengthening policies and controls around account set-up, tapping into industry-level risk data, monitoring emerging fraud tactics, and improving training.

First-party fraud

First-party fraud occurs when the customer intentionally commits fraud. It is a subset of ‘friendly fraud’, which also encompasses genuine customer mistakes and misunderstandings. There were an estimated 12 million first-party fraud incidents involving card payment in 2025 in North America, with this number projected to grow to over 14 million by 2028.³¹

Card transaction disputes, e.g. claiming a purchase was unauthorized or was never delivered, are not the only form of payment-related first-party fraud. Customers may open a credit card while inflating their income, apply for a loan using an identity that is only partially true, or misrepresent their financial history. Some first-party fraudsters cultivate trust with financial institutions for an extended period before suddenly extracting large amounts of money using multiple tactics.

Like credit risk, first-party fraud tends to increase when consumers are under economic pressure. Many financial institutions struggle to differentiate first-party fraud from credit losses, genuine customer mistakes or situations where the customer has fallen for a scam.

Credit card companies, banks and other providers are stepping up the effort to identify first-party fraud including:

- More efficient gathering and communication of evidence during the charge-back process.
- More rigorous onboarding routines with enhanced document verification, particularly given the increasing amount of fake credentials generated using AI tools.
- Improved sharing of information across fraud data consortia.

Increasingly, many different dimensions of information, from customer fraud scores to continuous transaction monitoring and behavioral analytics, will need to be combined and analyzed using AI- and ML-enabled systems. The goal is to deploy a multi-layered approach that identifies first-party fraud while minimizing false positives – preserving a good customer experience for honest customers and those in genuine financial difficulty.



Insider-driven Payment Fraud

Fraudulent or negligent acts by individuals working for a payments market participant or the third parties that it depends on, including facilitating external bad actors.

Insider-driven fraud – increasingly recognized as a serious driver of payment fraud and related data breaches – comes in two main flavors. The first is where an insider takes money or credentials directly, e.g. by stealing money from a customer's account or by inserting malicious code into bank systems to siphon money from transactions.

The second is where the insider facilitates external actors by supplying information about clients, betraying bank routines and defenses, or compromising cybersecurity on purpose or through negligence. Insiders often enable other kinds of fraud described in this report, e.g. an insider might override risk flags on 'thin-file' applicants to facilitate synthetic identity fraud.

Across organizations, surveys show that insider threats are rising, driven by complex IT environments, new technologies, remote working and inadequate training.³² Rising dependence on third parties is also increasing the risk.³³

Many insider frauds are committed when the bank inadvertently creates an opportunity by not having the right security and controls environment or by not reacting quickly to risk signals.

A lot of prevention comes down to putting the right approaches in place across three key pillars:

- **Access management:** Limiting access to systems, personal data and critical information based on role and need.
- **Monitoring:** Tracking insider actions, e.g. on internal systems and social media, to spot fraud attempts, anomalies and risk flags.
- **Segregation:** Clear segregation of duties with independent checks and balances based on risk scenarios, e.g. verifying that a payment-related request was indeed made by a customer.

Take, for example, a corrupt bank teller who identifies wealthy, elderly customers that lack bank debit cards – and then orders debit cards to be sent to the bank branch so they can surreptitiously withdraw money from the customer's account over time. This kind of insider fraud can take years to track down if the bank relies on the customer, or its systems, to flag anomalies.

However, it can be prevented at source by putting in key controls, such as alerting the fraud team whenever a card is ordered for an elderly customer well after their account has been opened. That risk signal tells the fraud team to institute further independent checks, such as reaching out to the customer.

At an enterprise level, crafting the right insider risk strategy means identifying many potential risks and then defining the controls that can be used to limit them and the best risk flags to monitor – as well as setting up processes to ensure fraud opportunities are closed rapidly. With insider risks evolving fast, institutions need programs to continually evaluate roles, individuals and the controls surrounding them.

Contact centers, which may have 50-100% staff turnover every year, are particularly vulnerable to insider threats. Agents have access to customers' personal identifiable information and transaction history and can often order new cards or reset pin codes.

Key controls should be in place and rigorously enforced. For example, representatives should not be able to bring anything at all – pens, paper, purses – into or out of the room where the phones are located. They should be able to see only the data they need and there must be an automated record of who has accessed which accounts and data, and why.

Call center teams should be trained and tested on fraud prevention at least once a quarter, with training materials carefully secured – or bad actors will steal these materials and plot the optimal way to circumvent controls.

“ In light of evolving fraud trends and increasing third-party dependencies, institutions should reassess insider-driven threats including reviewing operational controls and improving risk ratings for roles and individual employees.

Strengthening defenses

While most institutions have certain key processes in place to control insider risk, many have not yet designed a more holistic insider risk management program.

Reviews often reveal gaps in controls frameworks and the knowledge sharing and coordination of physical security, cybersecurity, fraud, human resources and compliance teams.

Improved coordination between functional teams and across business divisions can take various forms such as:

- rationalizing controls
- ensuring efficient flows of data and risk signals
- identifying the ways in which insiders might be facilitating fraud across multiple product or functional areas
- coordinating remedial action after an incident.

Banks and other institutions often need to improve how they learn enterprise-level lessons from new incidents.

Areas to focus on following an incident include:

- upgrading the risk triggers being tracked
- improvement of staff training around newly understood fraud scenarios
- upgrading recruitment procedures
- the imposition of tighter data access rights.

Formal insider risk programs should aim to shift the organization towards a more consistent and holistic perspective. Next we review some key tools and tactics in this endeavor.

Operational controls review

- The review should cover all the controls associated with the end-to-end payment process, taking account of the fact that not all the controls will necessarily lie in the same operational group.
- For example, they might range from authentication controls in the contact center, to controls related to wires requested via the phone channel and those related to out-of-band authentication.
- The controls inventory should be mapped to the insider risks associated with each end-to-end process.

Programs to improve the risk rating of bank roles

- These should consider all the relevant payments roles, e.g. risk ratings should be generated for database administrators that have access to production data and various call center roles.
- The risks associated with each role should be identified and the set of controls used to mitigate these risks should be mapped.
- The program should determine the effectiveness and cost of controls versus the risks that they are mitigating.

- The approach must be bank-specific because bank practices vary, e.g. regarding the degree to which certain roles can access information or override procedures.
- Banks should leverage instances of employee fraud to assist them in improving role risk ratings. For example, if a teller orders and misuses a customer debit card, this should be taken into account not only from an operational controls perspective, but also to better understand the fraud risk associated with the teller role.
- Programs to improve role risk ratings should assess whether the bank is leveraging all possible channels, such as FBI working groups, to identify new insider fraud scenarios – and if processes are in place to make sure new intelligence triggers enhanced due diligence.

Know Your Employee (KYE programs)

- These generate a risk score down to the role level to help focus the bank's attention on risk exposures and anomalous behavior.
- The risk indicators used to calculate the score can vary from exposure metrics and audit findings at line-of-business level to turnover rates, morale metrics, approval authorities, access, and tenure at team and individual levels.
- The bank can then compare and monitor the risks, actions and incidents associated with teams across geographies, drilling down to named individuals as useful.

Segregation effectiveness

- Banks understand that they should be applying best-practice segregation of duties across the institution, e.g. individuals writing code for bank payment systems should not also play a role in testing and validating that code. However, understanding in detail how insider risks interact with the bank's operational controls – including many bank-specific features such as who has privileged access to key systems – is a challenging task.
- Monitoring tools can be used to enforce the segregation of duties, alongside quality control checks to make sure segregation is enforced.

Finally, banks should consider reviewing how they monitor high-risk individuals beyond their use of internal bank systems, e.g. by tracking social media.

This can prove critical in raising red flags, e.g. that a privileged insider has money problems or an unexpectedly lavish lifestyle.

However, banks need to balance monitoring with privacy, confidentiality and legal issues. When risk flags appear, they must also have a robust process for setting in train enhanced due diligence procedures.

These procedures might include monitoring keystrokes, recording phone calls, analyzing system and data access, and examining the employee's decisions around process exceptions and the overriding of risk indicators or 'holds'.

Alongside specific monitoring and investigation tools, organizations must deploy robust and scalable case management systems so that investigation workflows can be managed effectively across the enterprise.

Takeaway: Insider-driven threats are evolving fast as fraudsters find new ways to collude with financial industry employees, driving the need for additional controls and monitoring. Payment market participants need to review defenses and build a more coordinated and holistic approach that leverages new approaches to role and employee risk scoring as well as new monitoring and analytical technologies.



Defense in Depth: The Imperative for Enterprise-wide Action

Capco's survey shows that US consumers are increasingly aware that they need to be better informed about, and protected from, payment fraud:

- **89%** of our respondents are concerned that their personal data available online will make it easier to impersonate them or find the answers to security questions used to verify their identity.
- **69%** voice some level of concern about the continuing security of voice biometrics and facial ID given advancing deep fake technologies, with 30% believing these authentications are either 'insecure' or 'not entirely secure' today and 39% believing they are under future threat.
- **38%** say they have not been provided with any information or guidance about deepfake threats and how to reduce the risks, or cannot recall such an educational effort.

Consumers understand – from experience and from scam-related news stories – that the fraud threat is evolving fast.

Fraudsters are selling data, services and tools to each other as they automate fraud schemes and build an industrialized, interconnected and AI-enabled criminal industry on a global scale.

To strengthen defenses and preserve consumer trust, fraud prevention must adopt a similarly coordinated and technology-enabled stance. To conclude the report, we highlight five key fraud prevention initiatives that cut across fraud types and business silos and that demand an enterprise-wide perspective.

Coordinating multi-team layered fraud prevention

There is an ongoing effort in payment fraud prevention to move towards better coordinated, multi-layered 'defense in depth', with the idea that if one preventive layer fails then another layer – or another risk team – is there to catch the ball. For example, multi-factor authentication can be backed up with ongoing monitoring of behavioral biometrics and with risk-based triggering of additional checks when the stakes are high.

The layering concept applies more widely than the layering of individual fraud prevention technologies. For example, gaps in the internal data in one risk area (e.g. payments) can be filled by information from other risk areas (e.g. AML) – or through using consortium data, probing the dark web, and leveraging industry working groups.

Within this more interconnected environment, a key concern is how best to coordinate teams such

as cybersecurity, payment fraud, AML, operations, sales, customer service representatives and IT. This will not necessarily mean fully integrating teams such as Fraud and AML – they have shared concerns and threat actors, but they also work on different timescales and towards different goals.

For many organizations, the focus should instead be on creating the most efficient joint efforts in terms of specific processes, platforms, data sharing, and learnings.

Organizations should regularly review how layering and coordination efforts fit within their risk frameworks. For example, a bank might look at how different risk functions and business teams are applying shared principles (e.g. zero trust, layered defenses, fraud risk appetite), approaching new technologies such as AI, developing common fraud scenarios, and integrating data on fraudsters and compromised credentials.

The coordinated exchange of data and information across the organization – between business lines, operations, information security and fraud teams – is particularly critical. History has shown that far too many fraud scams have been successful due to the poor sharing of information.

Fraud risk appetite

Firms are often obliged to make difficult tradeoffs between the need for fraud prevention and its costs – including the effect on customer experience.

To help make these tradeoffs and keep them consistent across the enterprise, senior management should set out a clear enterprise fraud risk appetite (or tolerance) in qualitative and quantitative terms. Developing the fraud risk appetite will mean forging a strategic alignment between the bank's business strategy, its growth

goals, customer experience expectations, legal requirements, and tolerance for expected and unexpected levels of fraud losses and associated costs – including reputational risks.

It will also mean setting out clearly how the risk appetite should be applied in practice to make consistent decisions across lines of business, e.g. concerning the amount invested in new products and services to prevent fraud.

Customer fraud scores

Not all customers have the same risk profile, execute the same kind of transactions, or have the same history with their institution. That means it is often helpful to create individual customer fraud scores that are distinct from anti-money laundering (AML) scores and transaction fraud scoring.

As the figure on page 39 shows, data dimensions such as customer longevity, past fraud incidents and chargebacks, and the stability of personal information can be combined into a score that helps predict customer vulnerability to various fraud types.

This can be used to improve decisions – including real-time decisions – in conjunction with other fraud information such as an emerging pattern of transactions or risk flags apparent in consortia data.

The quantitative effort should not stop with customers: as we described earlier in the report, role risk scoring and Know Your Employee (KYE) programs are also key tools.

“Senior management should set out a clear enterprise fraud risk appetite in qualitative and quantitative terms.



Components (illustrative)



Customer fraud score



Updated using



- Customer account/relationship longevity
 - Customer type, e.g. consumer, small business, corporate, high net worth
 - Account age vs activity level
 - Past fraud incidents or chargebacks
 - KYC verification strength, e.g. quality of identity documents, verification methods
 - Number of linked accounts or products e.g. loans, cards, deposits
 - Stability of personal information over time, e.g. address, phone, email
-
- Identified fraud activities
 - Changes in customer behavior
 - Changes in personal information, e.g. email, location, phone number
 - Other checks the organization performs

AI-enabled threats and defenses

AI has emerged as a key driver of the fraud arms race in terms of both enabling fraud and powering new fraud defenses. It is enabling fraudsters in multiple areas such as impersonation attempts, evading authentication procedures, producing fake documents, generating convincing phishing content and spoof websites, and combining real and fake information to generate synthetic identities.³⁴

There is growing concern in the industry about how deep fakes are starting to be used to circumvent voice and other biometric defenses. Most professionals we speak to think that this is only the beginning of the AI-enabled threat, with many trying to understand how AI might be used to scale up and fully automate attacks – to the point where the AI is autonomous during much of the fraud process.

The key here is to work with partners to monitor evidence for emerging threats and also to imagine and plan around future AI-enabled ‘what if’ fraud scenarios.

The other side of the coin is that new forms of AI- and ML-enabled defenses will be increasingly used to defend organizations in areas such as analyzing behavioral biometrics, defining and monitoring digital identities, calculating transaction fraud scores, and AI-enabled monitoring of large cross-institution, cross-platform and cross-industry datasets.

Senior management will need to make sure that GenAI and agentic AI is applied within a Responsible AI framework, manage any related third-party risks, and align with other enterprise initiatives including efforts to improve data management.

Customer awareness & education programs

Threats are changing to include more sophisticated AI-enabled social engineering techniques. Customers need to understand the latest threat scenarios and which communications they can treat as legitimate.

They need to learn how to use tools to mitigate risk, including how to enhance security controls around their account, monitor account activity and contact the bank when they are concerned.

Banks and other payments providers will need to shift their emphasis from periodic and 'broadcast'

educational campaigns towards efforts that are more context-driven (e.g. pop-ups), personalized, interactive and real-time.

There may also need to be increasing emphasis on cross-industry collaboration and a greater focus on the non-bank channels where many frauds start, such as texting and social media.

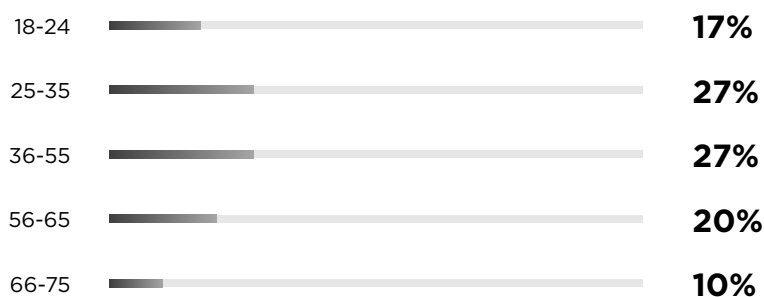
Enterprise-level initiatives demand clear roadmaps and coordinated approaches – across the firm and its different teams, across partner ecosystems and, increasingly, across industries. Meanwhile, implementation milestones will need to be reached much more quickly than in the past, implying changes in fundamental transformation strategies.

We trust our survey and report spark discussion in your organization at both the tactical and strategic level. We look forward to helping you answer any questions that might arise as our industry prepares for rapidly evolving payment fraud threats and the need for increasingly multi-layered and real-time defensive strategies.

Survey methodology, demographics & payment channels

We interviewed a total of 1,000 respondents aged between 18 and 75 years old. The surveys were quantitative studies conducted using diverse sampling methodology (social & ad networks). Percentages in this report might not total 100% due to rounding.

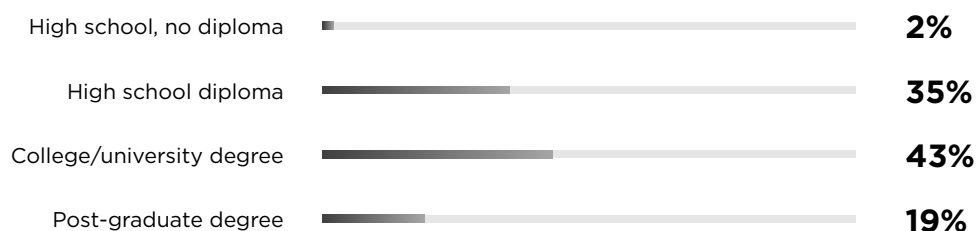
Age range: 18-75



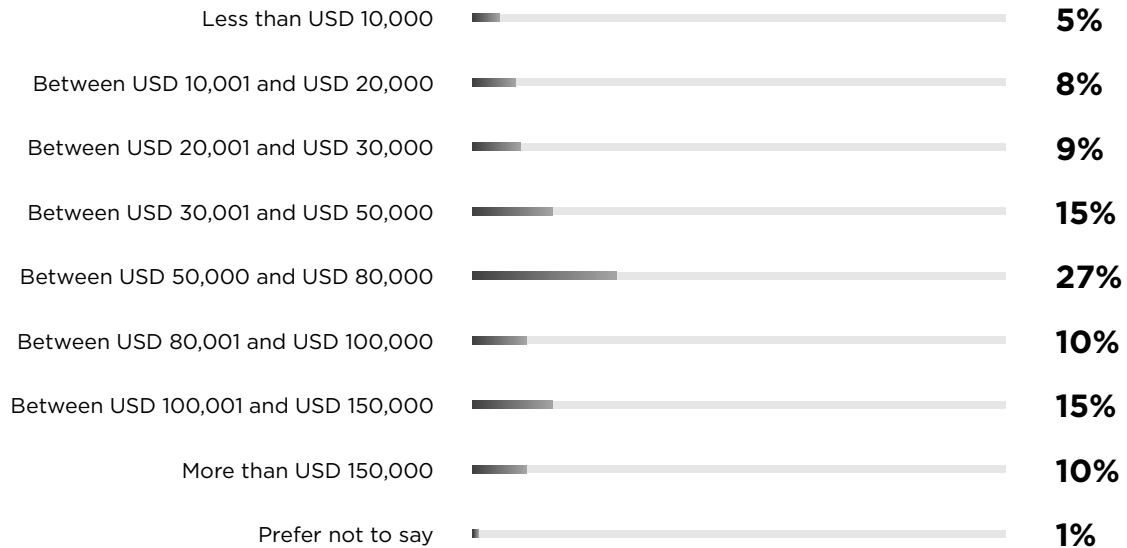
Gender (under 1% identified in a different way)



What is the highest level of education that you have completed?

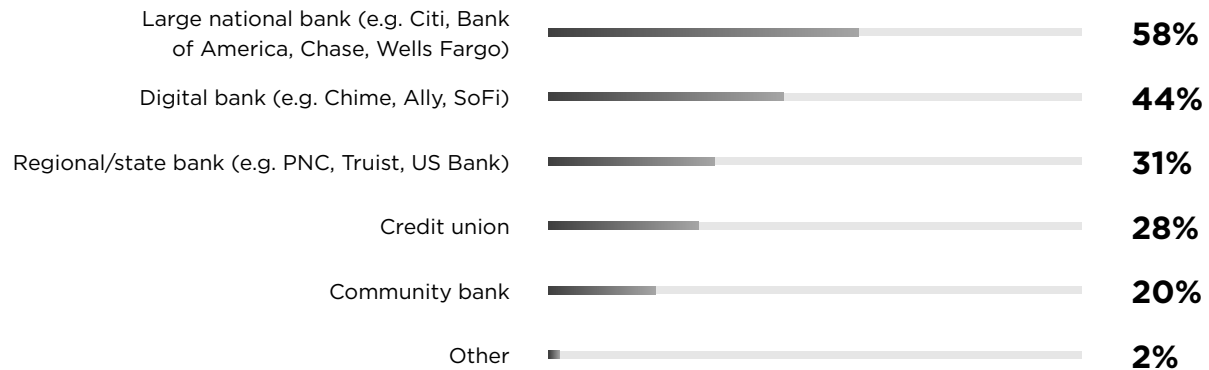


What is your annual household income?



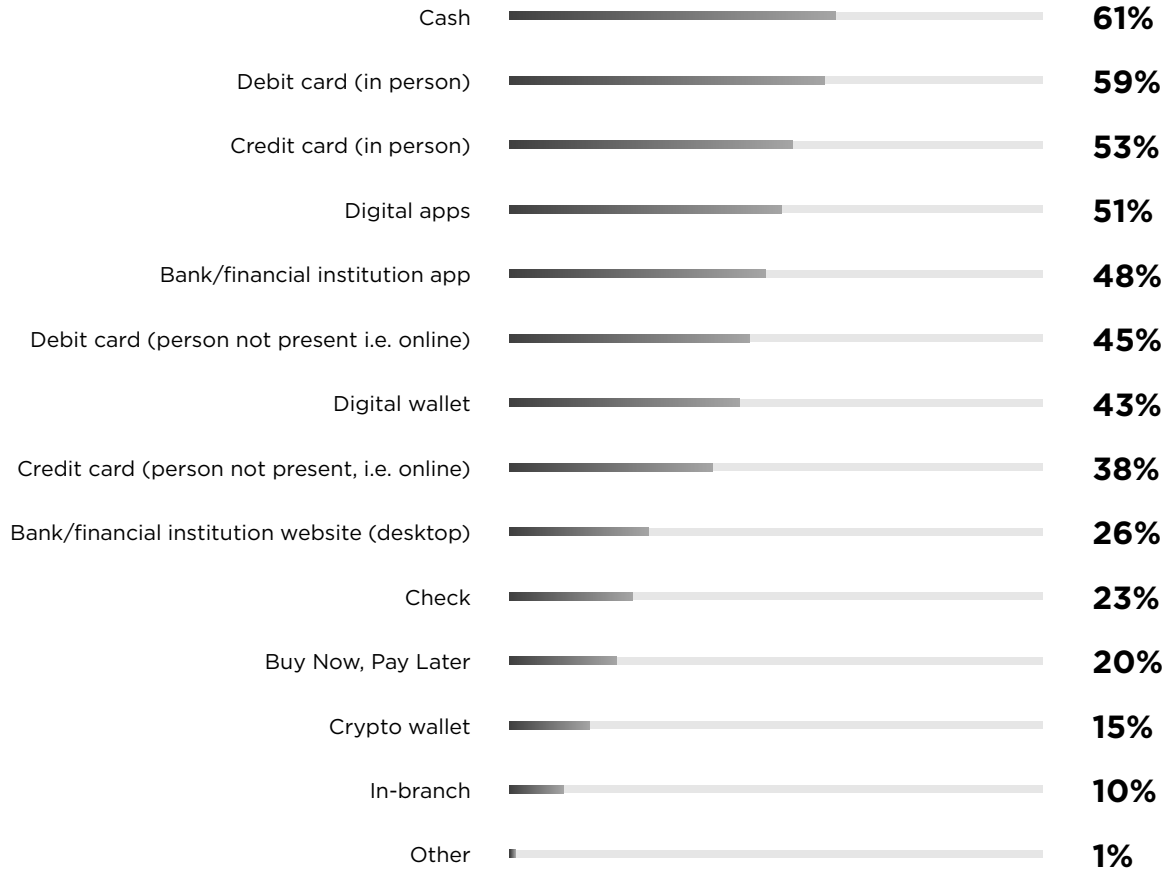
What kind of financial institutions do you use to make payments?

Multiple selections permitted



Which of the following do you frequently use to make payments?

Multiple selections permitted



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